REAL-TIME MARKET INTELLIGENCE | CRE INTELLIGENCE BRIEFING

Chicago Commercial Real Estate Market Report

Scope: Office, Industrial & Multifamily Sectors | **Period:** Q2/Q3 2026

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27.2%
CBD OFFICE VACANCY
Trophy: 13.4% | Class A: 23.0%

$47.90
DOWNTOWN GROSS RENT
Class A Peak: $56.00/SF

4.5%
INDUSTRIAL VACANCY
YTD Absorption: 12.8M SF

> 4.0%
MULTIFAMILY RENT GROWTH
Constrained Supply Pipeline

1. Executive Summary

The Chicago commercial real estate (CRE) market presents a sharp divergence across asset classes through mid-2026. While the **Office sector** continues to navigate high vacancy rates driven by post-pandemic workspace rationalization, top-tier Class A and Trophy properties are experiencing strong leasing momentum ("flight-to-quality"). Conversely, the **Industrial** and **Multifamily** sectors remain exceptionally resilient, characterized by tight vacancy rates, sustained rental growth, and ongoing institutional demand.

2. Central Business District (CBD) Office Market

Chicago's downtown office market recorded **3.2 million square feet (msf)** of new leasing activity during the first half of 2026, marking a 1.7% increase year-over-year (YOY). However, structural shifts continue to impact broader occupancy levels.

Submarket / Segment	Vacancy Rate	Avg Asking Rent (psf)	Mid-2026 Net Absorption	Primary Key Drivers
CBD Overall Market	27.2%	$43.90 – $47.90	-215,000 SF (Q2)	Overall market stabilization; downsizing offsets expansion
Class A Premier	23.0%	$56.00	+322,000 SF (Q2)	65.1% of all new leases; heavy flight-to-quality
Trophy Assets	13.4%	$60.00+	Positive	High-rise trophy vacancy exceptionally low at 7.3%
West Loop / Fulton Market	~20.5%	$52.00	+259,000 SF (YTD)	Captured 70.4% of total Q2 CBD leasing activity
Suburban Office	24.2%	$26.86	-1.3 MSF (YTD)	Downsizing; developer focus shifting to residential conversion

Notable Q2 2026 Office Transactions

- **Sidley Austin:** Signed a 520,000 SF anchor lease at 725 W. Randolph (West Loop), kicking off new Class A construction.
- **McKinsey & Company:** Executed a 72,000 SF sublease from Salesforce in River North.
- **Loeb & Loeb:** Executed a 52,000 SF lease at 151 N. Franklin in the West Loop.

3. Industrial & Logistics Sector

Chicago's industrial sector remains one of North America's premier distribution hubs. Strong tenant demand from logistics and third-party logistics (3PL) providers pushed mid-2026 leasing volume to **28.3 million sq ft**.

- **Vacancy Rate:** Vacancy compressed to **4.5% – 5.9%** across submarkets, well below national averages.
- **Net Absorption:** Year-to-date net absorption reached **12.8 million sq ft**, driven by big-box and shallow-bay occupiers.
- **Asking Rents:** Industrial average asking rents rose to **$8.12 psf**, supported by tight availabilities and a 32% preleased construction pipeline (14.1 msf under development).
- **Key Deals:** KeHE Distributors leased 1.2 msf in Joliet (I-80 Corridor), and Hyundai Translead signed for 906,500 sf in Clarius Park Joliet.

4. Multifamily & Retail Performance

• **Multifamily:** Chicago has consistently ranked among the top U.S. markets for rent growth, with citywide rent gains exceeding **4.0% YOY**. Constrained supply pipelines and limited new deliveries through late 2026 maintain historically low vacancy rates.
• **Retail:** Limited speculative retail construction has preserved high occupancy in neighborhood-serving retail centers (under 10,000 SF). Major redevelopment initiatives like Google's Thompson Center project are expected to boost long-term Loop foot traffic.

DATA SOURCES & WEB CITATIONS

[1] Cushman & Wakefield — MarketBeat Chicago CBD Office & Suburban Reports (Q2 2026)
[2] Savills Research — Downtown Chicago Office Market Report (Q2 2026)
[3] JLL Research & Avison Young — Chicago Industrial Market Dynamics (Q2 2026)
[4] Chicago Association of REALTORS® — 2026 Commercial Real Estate Market Outlook